

learned, Independent Individualists are firm in their belief in themselves and their decisions, but can be blinded to contrary thinking. As with Followers, education is essential to changing behavior of Independents; their biases are predominantly cognitive. A good approach is to have regular educational discussions during client meetings. This way, the advisor doesn't point out unique or recent failures, but rather educates regularly and can incorporate concepts that he or she feels are appropriate for the client. Because Independents' biases are mainly cognitive, education on the benefits of portfolio diversification and sticking to a long-term plan is usually the best course of action. Advisors should challenge Independents to reflect on how they make investment decisions and provide data-backed substantiation for recommendations. Offering education in clear, unambiguous ways is an effective approach. If advisors take the time, this steady, educational approach should yield positive results.

ACCUMULATOR

Basic type: Active

Risk tolerance: High

Primary bias: Emotional

With Accumulators, we continue within the realm of the active investor. As we reviewed in earlier articles, active investors have been actively involved in their wealth creation, typically risking their own capital in achieving their wealth objectives. Active investors have a higher tolerance for risk than they have need for security. Their tolerance for risk is high because they believe in themselves. Related to their high risk tolerance is the fact that active investors prefer to get very involved in investment decision making and aren't afraid to roll up their sleeves and do due diligence on contemplated investments. Let's turn our attention now to the last of the two active behavioral investor types, the Accumulator.

The Accumulator is the most aggressive behavioral investor type. These clients are entrepreneurial and often the first generation to create wealth, and they are even more strong-willed and confident than Independents. At high wealth levels, they often have controlled the outcomes of noninvestment activities and believe they can do the same with investing. This behavior can lead to overconfidence in investing activities. Left unadvised, they often trade too much, which can be a drag on investment performance. Accumulators are quick decision makers but may chase higher-risk investments than their friends. If successful, they enjoy the thrill of making a good investment.